a reward of, say, Rs 1 lakh. Many of those who lost jobs during Covid were exploited to carry smuggled gold, says an official at the Jaipur airport. Bringing gold in baggage attracts a duty of 38.5 per cent, hence smuggling appears a better option for someone reluctant to import with a licence, as he has to pay half the duty and taxes. Indian citizens with a longer stay abroad get concessions in bringing home gold jewellery. A male passenger with a stay of one year or more abroad can carry jewellery worth Rs 50,000 duty-free—the value is Rs 1 lakh for a female passenger. Moreover, an Indian returning after a six-month to 1-year stay abroad can bring up to 1 kg of gold at 13.75 per cent duty.

A third of the gold smuggled in the world goes through India, according to Canada-based NGO Impact, and most of it originates from Africa and South America but passes via the UAE, Myanmar and Kazakhstan. States with a higher number of arrivals from international flights as also the ones that have porous international land and sea borders have reported a larger number of seizures. According to the finance ministry data placed in Parliament, Tamil Nadu topped the list with 7,722 cases in 10 years followed by Maharashtra (7,047) and Kerala (5,080). This is hardly surprising as gold consumption is the highest in southern states. Until 2020, the average annual cases of gold smuggling registered were 772 for Tamil Nadu, 705 for Maharashtra and 272 for Kerala, with the northern states of Delhi, Haryana, Rajasthan, Punjab and Himachal Pradesh, and the Union territories of Jammu and Kashmir and Ladakh combined averaging 356 only. Kerala began to see a higher number of seizures, especially after the 2020 case in which diplomatic bags were used to smuggle gold allegedly in connivance with officers of the chief minister's office. From January 2020 to June 2022, the state reported 1,880 cases followed by 1,632 in Tamil Nadu and 776 in Maharashtra.

INGENIOUS WAYS TO SMUGGLE GOLD

Smugglers have been resorting to innovative ways to sneak gold into India (see *The Modus Operandi*). The DRI's report on smuggling last year noted how restrictions on movement across borders resulted in creative ways to move gold. In April, Jaipur airport officials seized a piece of iron with 3 kg of gold and also found two hammers with a kilo of gold in each in a piece of luggage left behind. In another case, they caught a passenger arriving from Sharjah with gold worth Rs 1.2 crore plated with rhodium and shaped as handles of a trolley bag. Earlier in November, a passenger at the railway station was found with six gold biscuits worth Rs 1.25 crore. He had brought the contraband in his rectum from the Northeast.

But what worries the government are the bigger consignments (see *Why Gold is Smuggled in Large Quantities*). On October 27, the DRI, Chennai, seized 35.6 kg of foreign-origin gold worth Rs 18.34 crore, shipped through coastal areas. In September, the agency recovered 121 kg of the metal smuggled through the northeastern borders, which included 394 foreign-

HAULS, BIG & BOLD

NOV. 13, 2022

In the highest single-day seizure at **Mumbai** airport, 61 kg of gold worth Rs 32 crore is recovered in two separate cases. Seven passengers, including five men and two women, who land from Tanzania and Dubai, are arrested

NOV. 5

A passenger from Kasargod, Kerala, is nabbed at **Mangaluru** airport. Gold worth Rs 11.78 lakh—concealed in four Nokia phones, two wrist watches and two LED bulbs—is recovered

OCT. 28

A resident of Palakkad, Kerala, arriving at **Kochi** airport from Dubai is caught with 47 grams of gold attached to his pant's zip

OCT. 20

Vijayawada Customs Commissionerate seizes 13.189 kg of gold worth Rs 6.7 crore along with Rs 4.24 crore cash from persons carrying contraband in buses, cars and trains across Andhra Pradesh. Five arrested

OCT. 16

Three packets, containing 2.6 kg of gold, in the form of a rubbery paste are found stuck on a toilet wall at **Chennai** airport

OCT. 11–12

The customs department at **Mumbai** airport seizes 15 kg of gold worth Rs 7.87 crore in four different cases

OCT. 11

One passenger is arrested in the 64th gold seizure at **Kozhikode** airport since February. A kilo of gold capsules is found hidden in his rectum

OCT. 10

A Thrissur resident is caught at **Kochi** airport

THE MODUS OPERANDI

Most of the gold smuggled into India via airports arrives through passengers from Dubai and also some from Bangkok, and via land routes from Myanmar and via sea routes from Sri Lanka. Some cargos from China hide big quantities of gold too. Authorities are yet to identify organised gangs abroad but here's how they operate

MOULDING OF GOLD



It is a sort of an industry where gold is moulded in choicest forms such as rudraksh, wires, machine tools, threads etc. There are many in India who have their people abroad helping them in this process

IDENTIFICATION OF CARRIERS



The carriers are often innocent passengers who may not know that gold is hidden in the product they have been asked to carry for a few thousand rupees